WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

AFGHANISTAN

Eurasia

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Kabul	Capital and seat of the de facto Taliban administration, central bank and line ministries; principal commercial and services market	Trade and distribution, construction, consumer goods, services
Herat (west)	Host to the 153 km Afghan section of the TAPI gas pipeline, with around 80% of pipe-laying complete by September 2026, and a gateway to Turkmenistan and Iran	Gas transit, power transmission, agro-processing, logistics
Mazar-i-Sharif and the Termez border (north)	Northern rail and road link to Uzbekistan and starting point of the planned Trans-Afghan Railway, as Central Asian corridors carry a growing share of trade	Rail and road logistics, warehousing, cross-border trade
Logar / Mes Aynak	Site around 40 km south-east of Kabul of one of the world's largest copper deposits, estimated at 11.5 million tonnes of copper ore and held by China's MCC	Copper mining, mining services, access infrastructure
Kandahar (south)	Seat of the Taliban leadership council, where key policy decisions are taken, and a centre of southern agriculture and trade	Horticulture, agro-processing, trade
Iran border corridor (west)	Direct trade and transit with Iran accounted for 56.6% of recorded trade in August 2026, making it the main import route	Fuel and food imports, transit logistics (subject to Iran sanctions screening)
Pakistan border crossings (east and south)	Historically the main route to the sea; closed to trade since October 2025, with a reported reopening decision in August 2026 not yet implemented	Transit trade and logistics on reopening

INVESTOR ENTRY ROUTES

- No sanctions-free general route exists: all engagement must be structured around the UN 1988 Taliban sanctions regime and US, UK and EU measures, beginning with legal and sanctions counsel
- US OFAC General License 20 authorises commercial transactions involving Afghanistan and its governing institutions, including Da Afghanistan Bank and state-owned enterprises, and payment of taxes and fees, but not transfers to the Taliban, the Haqqani Network or blocked individuals; General Licenses 14–19 cover humanitarian, NGO and remittance activity

- The de facto authorities have retained the previous Law on Private Investment and the 2003 and 2015 banking laws, alongside a 2018 Islamic banking regulation, though application and enforcement are uneven
- Ministry-led concessions and contracts for mining, power and infrastructure, including the 15-year extension of the Mes Aynak copper contract and nearly $11 billion of electricity contracts signed with the Ministry of Energy and Water and the power utility DABS in 2025
- Participation in regional corridor projects through partner states and consortia, notably the TAPI pipeline and the Trans-Afghan Railway, whose feasibility study is due by the end of 2026
- Da Afghanistan Bank manages a currency that has been stable to stronger, at around 65 afghani to the dollar in August 2026; international payments are constrained, much activity runs through hawala networks, and repatriation should be planned with banks experienced in Afghanistan compliance

MARKET-ENTRY OBSERVATION

Afghanistan's economy has continued to grow under difficult conditions. The World Bank estimates real GDP growth of 4.8% in FY2025, led by services (around 10.3%) and industry (around 10%), with mining output having grown by roughly 25–30% a year in 2022–2024, and projects growth of around 4% in FY2026. The afghani appreciated by about 10% over FY2025 and traded at around 65 to the dollar in August 2026, inflation stood at 6.7% year-on-year in August 2026, and domestic revenue reached 19.8% of GDP in 2025, with revenue broadly covering spending in 2026. Regional partners are pressing ahead with connectivity: around 80% of pipe-laying on the Herat section of the TAPI gas pipeline was complete by September 2026, and the Trans-Afghan Railway linking Uzbekistan to Pakistan's ports, now costed at about $7 billion, is due to complete its feasibility study by the end of 2026. Russia became the first state to formally recognise the Taliban government in July 2025, and at least 17 countries maintain embassies in Kabul.

The country's central structural challenge is its international legal position. The Taliban, the Haqqani Network and senior office-holders, including the Prime Minister, are subject to UN, US and UK sanctions; the authorities are not recognised by the UN or by Western governments; about $7 billion of central bank reserves have been frozen since 2021; and banking remains thin, with private credit at around 2.5% of GDP. These realities are compounded by the closure of the Pakistan border since October 2025 and the return of some 3.7 million Afghans from Iran and Pakistan, which lowered GDP per capita by about 5.6% despite growth. Afghanistan has shown resilience by rerouting trade through Central Asia and Iran and redirecting food exports toward India, and established licensing routes allow lawful commercial trade. For most international investors the opportunity is therefore twofold: carefully structured, sanctions-compliant participation in permitted trade and regional infrastructure today, and early readiness for any future normalisation.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Sanctions on the Taliban and senior officials	The Taliban are designated under US terrorism sanctions, the Haqqani Network is also a US Foreign Terrorist Organisation, and the UN 1988 list, applied in the UK, includes the Prime Minister and other senior officials	Engage sanctions counsel, screen every counterparty, and structure activity within OFAC General License 20 and UK licensing, which permit commercial trade and payment of taxes and fees but not transfers to listed persons
Non-recognition of the authorities	Only Russia has formally recognised the Taliban government; the UN has not seated it, Western states have no formal relations, and the ICC issued arrest warrants for the Supreme Leader in July 2025	Use neutral-seat arbitration and political-risk analysis, build relationships through regional partners, and position for any future normalisation
Banking and payments	About $7 billion of central bank reserves remain frozen, banking assets total only around $3.5 billion and much activity runs through hawala networks	Work with banks experienced in Afghanistan compliance, use permitted channels under General License 20, and allow extra time for payments and repatriation
Pakistan border closure	Land trade with Pakistan has been halted since October 2025, ending coal exports and cutting customs revenue; a reported reopening decision in August 2026 has yet	Route trade via Central Asia and Iran, which together carry over 95% of recorded trade, and prepare to scale quickly when crossings reopen

Issue	Potential Impact	Possible Mitigation
	to take effect	
Reliance on the Iran route	The Iran corridor carried 56.6% of trade in August 2026, and the 2026 Middle East escalation raised energy prices and disrupted Hormuz shipping	Screen Iranian logistics counterparties against Iran sanctions and use growing Central Asian corridors, which offer investment openings in northern logistics
Governance, property rights and ESG	There is no independent judiciary, around 80% of land is held informally, and restrictions on women's education and employment raise ESG and reputational considerations	Conduct enhanced due diligence and title verification, and assess ESG and reputational issues at board level before committing
Returnee pressures and declining aid	Some 3.7 million returnees and grants falling to 13.3% of GDP are straining jobs and services, and the trade deficit reached 69% of GDP	A stable currency and growing revenue cushion the economy, while returnees add demand for food, housing and consumer goods

INVESTOR RISK NOTE

Afghanistan is a legally restricted market, and investors should treat compliance as the starting point of any engagement. The Taliban remain designated under US terrorism sanctions, the Haqqani Network is a US Foreign Terrorist Organisation, and the UN 1988 sanctions list, which takes automatic effect in the UK, includes the Prime Minister and other senior officials; the EU applies the UN regime and maintains its own measures. Only Russia formally recognises the authorities, the UN has not seated them, and about $7 billion of central bank reserves remain frozen. Nevertheless, lawful routes exist: OFAC General License 20 permits commercial transactions with Afghanistan and its governing institutions, including tax and fee payments, provided no funds reach the Taliban, the Haqqani Network or listed individuals. The economy has shown resilience, growing by an estimated 4.8% in FY2025 with a stable currency, despite the Pakistan border closure and large-scale returns. Investors should obtain specialist sanctions and legal advice, screen all counterparties continuously, confine activity to clearly permitted sectors, and treat Afghanistan as a market in which careful positioning today builds readiness for any future normalisation.

MARKET ACCESS

Afghanistan is a World Trade Organization member and sits at the junction of Central Asia, South Asia and the Middle East. Iran (31.1%), China (14.3%), Uzbekistan (9.7%), the UAE (9.5%) and India (9.3%) were the leading export markets in FY2026 to August, with Iran, China, the UAE, Uzbekistan and Kazakhstan the leading sources of imports. With the Pakistan border closed to trade since October 2025, Iranian routes (56.6%) and Central Asian corridors (38.9%) carried more than 95% of recorded trade in August 2026, and food exports have been redirected toward India. Two regional projects underpin long-term connectivity: the TAPI pipeline, planned to carry 33 bcm a year of Turkmen gas toward South Asia, and the Trans-Afghan Railway from Termez to the Pakistani rail network, which would give Central Asia access to Karachi, Gwadar and Port Qasim. As those projects and border normalisation advance, Afghanistan's transit role could expand substantially.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Supreme Leader and Prime Minister's Office (Kandahar leadership council and Kabul cabinet)	Policy decisions rest with the leadership council in Kandahar; the Prime Minister and several senior office-holders are on the UN 1988 sanctions list	Engage only with sanctions counsel in place, and only in ways permitted under applicable licences
Ministry of Industry and Commerce	Lead ministry for trade and industrial policy and a principal point of contact for investors in manufacturing and trade	First point of contact for trade and manufacturing projects, subject to counterparty screening
Da Afghanistan Bank (central bank)	Manages the afghani and the banking system; its reserves held abroad remain frozen, though OFAC General License 20	Key reference point for payments, currency and banking-channel questions

Actor	Why It Matters	Waverley Engagement Angle
	permits transfers to it	
Ministry of Mines and Petroleum	Awards and manages mining and hydrocarbon contracts, including Mes Aynak copper and gold mining in Takhar	Essential counterpart for any resources-sector assessment
Ministry of Energy and Water and Da Afghanistan Breshna Sherkat (DABS)	Signed nearly $11 billion of power contracts in 2025; DABS is the state power utility named in OFAC guidance as a permitted counterparty	Relevant for power generation, transmission and import projects
National Development Corporation	State-owned company leading major irrigation, mining and infrastructure projects	Likely partner or competitor in infrastructure; screen ownership and control carefully
Afghan Gas and regional partners (Turkmengaz, Uzbekistan Railways)	Counterparts in TAPI and Herat gasification and in the Trans-Afghan Railway feasibility work	Lawful entry point to Afghan infrastructure through partner-country structures

CURRENT INTERNATIONAL BUSINESS CHANNELS

International commercial engagement with Afghanistan currently runs mainly through regional channels. Uzbekistan, Turkmenistan and Kazakhstan are the most active economic partners, through the Trans-Afghan Railway, TAPI and northern trade corridors, and investors from the UAE, Qatar and Kazakhstan have expressed interest in rail financing. The Afghanistan Chamber of Commerce and Investment is the main domestic business association. Western governments have no formal relations with the authorities; the UK, for example, handles contacts through its Mission to Afghanistan based in Doha. Donors have discontinued most development projects but continue humanitarian and basic-services funding through UN agencies and NGOs, and the World Bank's monthly Afghanistan Economic Monitor is the most reliable source of current economic data.

INVESTOR PROFILE BEST SUITED

Afghanistan suits a narrow group of investors with high risk tolerance and strong compliance capability: regional trade, logistics and infrastructure investors, particularly from Central Asia and the Gulf, already engaged in northern corridors, TAPI and the Trans-Afghan Railway; suppliers of food, agricultural inputs, medicines and essential goods operating within humanitarian and commercial licences; and agro-processing businesses building on demand from India, China and the region. Most Western institutional investors are best served by a watching brief, with legal analysis and relationship-building through regional partners, so that they are ready to act quickly if sanctions, recognition or border conditions change.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Obtain specialist sanctions and legal advice first
Commission counsel covering UN 1988, US, UK and EU measures, and any Iran-related exposure on transit routes, before any contact with Afghan counterparts.

STEP 2: Screen and map every counterparty
Check ownership, control and leadership of ministries, state companies and private partners against all relevant sanctions lists, and repeat screening throughout the relationship.

STEP 3: Confirm compliant payment and banking channels
Agree payment routes with banks experienced in Afghanistan compliance and structure activity within OFAC General License 20 and UK licensing conditions.

STEP 4: Focus on permitted sectors and regional corridors
Prioritise food, essential goods, agro-processing and logistics, and engage with TAPI and the Trans-Afghan Railway through partner-country structures.

STEP 5: Maintain a normalisation readiness plan
Track recognition, sanctions changes, the Pakistan border and the frozen reserves, and keep relationships warm so that projects can move quickly if conditions change.